



ACC501 Business Finance

Composed By Faheem Saqib

A mega File of MiD Term Solved MCQ

For more Help Rep At

Faheem_saqib2003@yahoo.com

Faheem.saqib2003@gmail.com

0334-6034849

ACC 501 Quizzes Lecture 1 to 22

2. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

Direct labor

Manufacturing overhead

3. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

4. Financial policy is evaluated by which of the following?

Select correct option:

Profit Margin

Total Assets Turnover

Debt-equity ratio

None of the given options

5. Cash flow from assets involves which of the following component(s)?

Select correct option:

Operating cash flow

Capital spending

Change in net working capital

All of the given options

6. Which of the following refers to the cash flows that result from the firm's day-to-day

activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

7. Finance is vital for which of the following business activity (activities)?

Select correct option:

Marketing Research

Product Pricing

Design of marketing and distribution channels

All of the given options

8. Which of the following costs are reported on the income statement as the cost of goods

sold?

Select correct option:

Product cost

Period cost

Both product cost and period cost

Neither product cost nor period cost

9. Standard Company had net sales of Rs. 750,000 over the past year. During that time, average receivables were Rs. 150,000. Assuming a 365-day year, what was the average collection period?

Select correct option:

5 days

36 days

48 days

73 days

$750000/150000=5$
 $365/5=73\text{days}$

10. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

Financial Leverage

Manufacturing Leverage

None of the given options

11. In which type of market, new securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

12. Which of the following ratios are particularly interesting to short-term creditors?

Select correct option:

Liquidity Ratios

Long-term Solvency Ratios

Profitability Ratios

Market Value Ratios

13. shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

[Income Statement](#)

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

14. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

15. me: Quick Ratio is also known as:

Select correct option:

Current Ratio

[Acid-test Ratio](#)

Cash Ratio

16. of the following statement measures performance over a specific period of time?

Select correct option:

[Income Statement](#)

Balance Sheet

Cash Flow Statement

Retained Earning Statement

17. A portion of profits, which a company retains itself for further expansion, is known as:

Select correct option:

Dividends

Retained Earnings
Capital Gain

None of the given options

18. Net Income after taxation differs from Net Cash Flow from operations because:

Select correct option:

Depreciation expense is shown in the Cash Flow Statement and not in the Income Statement
Non-cash items are included in the Income Statement, but not in the Cash Flow Statement
Cash sales are shown in the Cash Flow Statement but not in the Income Statement
Cash expenses are shown in the Cash Flow Statement but not in the Income Statement

19. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

Select correct option:

Income Statement

[Balance Sheet](#)

Owner's Equity Statement

Cash Flow Statement

20. A portion of profits, which a company retains itself for further expansion, is known as:

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

21. Which one of the following is NOT a liquidity ratio?

Select correct option:

Current Ratio

Quick Ratio

[Cash Coverage Ratio](#)

Cash Ratio

22. Which of the following ratio gives an idea as to how efficient management is at using its assets to generate earnings?

Select correct option:

Profit Margin

Return on Assets

Return on Equity

Total Assets Turnover

23. Which of the following is an example of capital spending?

Select correct option:

Purchase of Fixed Assets

Decrease in Net Working Capital

Increase in Net Working Capital

None of the given options

24. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

25. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts

Auditors

Marketers

26. Which of the following set of ratios is used to assess a business's ability to generate

earnings as compared to its expenses and other relevant costs incurred during a specific period of time?

Select correct option:

Liquidity Ratios

Leverage Ratios

Profitability Ratios

Market Value Ratios

27. A company having a current ratio of 1 will have _____ net working capital.

Select correct option:

Positive

Negative

zero

None of the given options

28. which of the following is not a form of business organization

Select correct option:

sole proprietorship

partnership

joint stock company

cooperative Society

29. Which of the following ratios are intended to address the firm's financial leverage?

Select correct option:

Liquidity Ratios

Long-term Solvency Ratios

Asset Management Ratios

Profitability Ratios

30. The accounting definition of income is:

Select correct option:

Income =

Current

Assets -

Current

Liabilities

Income =

Fixed Assets

- Current

Assets

Income =

Revenues -

Current

Liabilities

Income = Revenues - Expenses

31. Which of the following item(s) is(are) not included while

calculating
Flows?

Operating

Cash

Select correct option:

Depreciation

Interest

Expenses related to firm's financing of its assets

[All of the given options](#)

32. Suppose market value exceeds book value by Rs. 250,000.
What will be the after-tax
proceeds if there is a tax rate of 34 percent ?

Select correct option:

Rs. 105,600

Rs. 148,500

[Rs. 165,000](#)

Rs. 225,000

Solution= $250000 \times 34\% = 85000$
 $250,000 - 85000 = 165000$

33. When a corporation wishes to borrow from public on a
long-term basis, it does so by
issuing or selling:

Select correct option:

[Debt securities or bonds lec 17](#)

Common Stocks

Preferred Stock

All of the given options

34. Which of the following set of ratios is used to assess a business's ability to generate

earnings as compared to its expenses and other relevant costs incurred during a specific period of time?

Select correct option:

Liquidity Ratios
Leverage Ratios
Profitability Ratios
Market Value Ratios

35. In which type of market, used securities are traded?

Select correct option:

Primary market
Secondary market
Tertiary market
None of the given options

36. Who of the following make a broader use of accounting information?

Select correct option:

Accountants
Financial Analysts lec 2
Auditors
Marketers

37. Which of the following is (are) a non-cash item(s) ?

Select correct option:

Revenue

Expenses

Depreciation

All of the given options

38. What will be the coupon value of a Rs. 1,000 face-value bond with a 10% coupon rate?

Select correct option:

Rs. 100

Rs. 510

Rs. 1,000

Rs. 1,100

Solution:

$=1000/10$

$=100$

39. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period lec 28

Net Present Value

Average Accounting Return

None of the given options

40. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

Direct labor

Manufacturing overhead

41. The value of net working capital will be greater than zero when:

Select correct option:

Current Assets > Current Liabilities

Current Assets < Current Liabilities

Current Assets = Current Liabilities

None of the given options

42. According to Du Pont Identity, ROE is affected by which of the following?

Select correct option:

Operating efficiency

Asset use efficiency

Financial Leverage

All of the given options

43. Which of the following issue is NOT covered by "Investment" area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

44. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

45. Balance sheet for a company reports current assets of Rs. 700,000 and current liabilities of Rs. 460,000. What would be the Current Ratio for the company if there is an inventory level of Rs. 120,000?

Select correct option:

1.01

1.26

1.39

1.52

Solution= $700000/460000=1.52$

46. In which type of business, all owners share in gains and losses and all have unlimited liability for all business debts?

Select correct option:

Sole-proprietorship

[General Partnership](#) pg 6

Limited Partnerhsip

Corporation

47. a firm uses cash to purchase inventory, its current ratio will:
Select correct option:

Increase

Decrease

[Remain unaffected](#)

Become zero

48. Which of the following is a special case of annuity, where the stream of cash flows continues forever?

Select correct option:

[Ordinary Annuity](#)

Special Annuity

Annuity Due

Perpetuity

49. Which of the following is an example of positive covenant?
Select correct option:

[Maintaining any collateral or security in good condition](#)

Limiting the amount of dividend according to some

formula Restricting
pledging assets to other
lenders

Barring merger with another firm

50. Which of the following refers to the difference between the sale price and cost of inventory?

Select correct option:

Net loss

Net worth

Markup

Markdown

51. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

52. _____ shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

53. Which of the following is a cash flow from financing activity?

Select correct option:

Cash outflow to the government for taxes

Cash outflow to shareholders as dividends

Cash outflow to lenders as interest

Cash outflow to purchase bonds issued by another company

54. Which of the following form of business organization is least regulated?

Select correct option:

Sole-proprietorship

General Partnership

Limited Partnership

Corporation

55. The principal amount of a bond at issue is called:

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

56. Which of the following relationships holds TRUE if a bond sells at a discount?

Select correct option:

Bond Price < Par Value and
YTM > coupon rate

Bond Price > Par Value and
YTM > coupon rate

Bond Price > Par Value and

YTM < coupon
rate
Bond Price <
Par Value and
YTM < coupon
rate

57. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds

Common Stocks

Preferred Stock

All of the given options

58. Which of the following item provides the important function of shielding part of income from taxes?

Select correct option:

Inventory

Supplies

Machinery

Depreciation

59. A firm reports total liabilities of Rs. 300,000 and owner's equity of Rs. 500,000. What would be the total worth of the firm's assets?

Select correct option:

Rs. 300,000

Rs. 500,000

Rs. 800,000

Rs. 1100,000

sol

Asset= liabilities+ capital so $300+500=800,000$

60. Which of the following forms of business organizations is created as a distinct legal entity owned by one or more individuals or entities?

Select correct option:

Sole-proprietorship
General Partnership
Limited Partnership

Corporation

61. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship
partnership
joint stock company

none of the above

62. Which of the following equation is known as Cash Flow (CF) identity?

Select correct option:

CF from Assets = CF to Creditors - CF to Stockholder
CF from Assets = CF to Stockholders - CF to Creditors
CF to Stockholders =

CF to Creditors + CF
from Assets

CF from Assets = CF to Creditors + CF to Stockholder

63. The difference between current assets and current liabilities is known as:
Select correct option:

Surplus Asset

Short-term Ratio

Working Capital

Current Ratio

64. A borrower is able to pay Rs. 40,000 in 5 years. Given a discount rate of 12 percent, what amount of money the lender should lend?

Select correct option:

Rs. 14,186

Rs. 18,256

Rs. 22,697

Rs. 28,253

solution

$$40000 * 1 / (1 + 0.12)^5 = 22697.07$$

65. Which of the following statement is considered as the accountant's snapshot of firm's accounting value as of a particular date?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

66. The principal amount of a bond at issue is called:
Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

67. Which of the following statement about bond ratings is TRUE?
Select correct option:

Bond ratings are typically paid for by a company's bondholders.

Bond ratings are based solely on information acquired from sources other than the bond issuer.

Bond ratings represent an independent assessment of the credit-worthiness of bonds. None of the given options

68. Which of the following is the acronym for GAAP?
Select correct option:

Generally
Applied
Accountabil
ity
Principles
General
Accounting
Assessment
Principles

Generally Accepted Accounting Principles

General Accepted Assessment Principles

69. Which of the following is NOT an internal use of financial statements information?

Select correct option:

Planning for the future through historic information

Evaluation of performance through
profit margin and return on equity
Evaluation of credit standing of new
customer

None of the given options

70. A firm has paid out Rs. 150,000 as dividends from its net income of Rs. 250,000. What is the retention ratio for the firm?

Select correct option:

12 %

25 %

40 %

60 %

Solution

Net income-dividend / net income

*100

$250000-150000/250000*100=40\%$

A company having a current ratio of 1 will have _____ net working capital. Select correct option:

Positive

Negative

zero

None of the given options

71. A portion of profits, which a company distributes among its shareholders, is known as:
Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

72. Which of the following is(are) the basic area(s) of Finance?
Select correct option:

Financial institutions

International finance

Investments

All of the given options

73. Which of the following ratios is NOT from the set of Asset Management Ratios?

Select correct option:

Inventory Turnover Ratio

Receivable Turnover

Capital Intensity Ratio

Return on Assets

74. You just won a prize, you can either receive Rs. 1000 today or Rs. 1,050 in one year.

Which option do you prefer and why if you can earn 5 percent on your money?

Select correct option:

Rs. 1,000 because it has the higher future value

Rs. 1,000 because you receive it sooner

Rs. 1,050 because it is more money

Either because both options are of equal value

75. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

Financial Leverage

Manufacturing Leverage

None of the given options

b

76. You need Rs. 10,000 to buy a new television. If you have Rs. 6,000 to invest at 5 percent compounded annually, how long will you have to wait to buy the television?

Select correct option:

8.42 years

10.51 years

15.75 years

18.78 years

$6000(1+5\%)^{10.51} \approx 10,000$

77. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the

lender Maintaining any collateral
or security in good condition
Restricting selling or leasing
assets

78. Which of the following is
measured by retention ratio?
Select correct option:

Operating efficiency
Asset use efficiency
Financial policy

[Dividend policy](#)

79. Which of the following statement shows assets, liabilities, and
net worth as of a specific
date?

Select correct option:

Income Statement

[Balance Sheet](#)

Owner's Equity Statement
Cash Flow Statement

Armaan: b

80. Product costs
include which of
the following?
Select correct
option:

Selling expenses
General expenses

[Manufacturing overhead](#)

Administrative expenses

81. An account was opened with an investment of Rs. 3,000 ten years ago. The ending balance in the account is Rs. 4,100. If interest was compounded, how much compounded interest was earned?

Select correct option:

Rs. 500

Rs. 752

Rs. 1,052

Rs. 1,100

$$4100 - 3000 = 1100$$

82. What is the effective annual rate of 7 percent compounded monthly?

Select correct option:

7.00 percent

7.12 percent

7.19 percent

7.23 percent

83. Which of the following cash flow activities are reported in the Cash Flow Statement and Income Statement?

Select correct option:

Operating Activities

Investing Activities

Financing Activities

All of the given options

84. Which of the following term refers to establish of a standard to follow for comparison?

Select correct option:

Benchmarking 48

Standardizing

Comparison

Evaluation

85. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency pg 44

Asset use efficiency

Financial policy

Dividend policy

86. Rule of 72 for finding the number of periods is fairly applicable to which of the following range of discount rates?

Select correct option:

2% to 8%

4% to 25%

5% to 20%

10% to 50%

87. Which of the following refers to a conflict of interest between principal and agent?

Select correct option:

Interest Conflict

Agency Problem

None of the given options

88. Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?

Select correct option:

Ordinary annuity 63

Annuity due

Perpetuity

None of the given options

89. Which of the following area of finance deals with stocks and bonds?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

90. 7:03 AM Which of the following is NOT an external use of financial statements

information?

Select correct option:

Evaluation of credit standing of new customer

Evaluation of financial worth of supplier

Evaluation of potential strength of the competitor

Evaluation of performance through profit margin and return on equity

91. Which of the following is(are)
the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

92. If a firm has a ROA of 8 percent, sales of Rs. 100,000, and total assets
of Rs.

75,000

What is the profit margin?

Select correct option:

4.30%

6.00%

10.70%

16.73%

solution

Net income = ROA * total asset

Net income = $8\% \times 75000 = 6000$

Profit margin = $\text{net income} / \text{sales} \times 100$

Profit margin = $6000 / 100000 \times 100 = 6\%$

93. Which of the following is the process of planning and managing a
firm's long-term

investments?

Select correct option:

Capital Structuring
Capital Rationing

Capital Budgeting

Working Capital Management

94. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows
Financing Cash Flows
All of the given options

95. Quick Ratio is also known as:
Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

None of the given options

96. Mr. Y and Mr. Z are planning to share their capital to run a business. They are going to employ which of the following type of business?

Select correct option:

Sole-proprietorship

Partnership

Corporation

None of the given options

97. If you have Rs. 30 in asset A and Rs. 120 in another asset B,

the weights for assets A and B will be ___ and ___ respectively.

Select correct option:

20%; 80%

37%; 63%

63%; 37%

80%; 20%

98. When corporations borrow, they generally promise to: I. Make regular scheduled interest payments II. Give the right of voting to bondholders III. Repay the original amount borrowed (principal) IV. Give an ownership interest in the firm

Select correct option:

I and II

I and III

II and IV

I, III, and IV

99. Which of the following is NOT included in a bond indenture?

Select correct option:

The basic terms of bond issue

The total amount of bonds issued

A personal profile of the issuer

A description of the security

100. What would be the present value of Rs. 10,000 to be received after 6 years at a discount rate of 8 percent?

Select correct option:

Rs. 6,302

Rs. 9,981

Rs. 14,800

Rs. 15,869

101. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure.

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

102. The preferred stock of a company currently sells for Rs. 25 per share. The annual

dividend of Rs. 2.50 is fixed. Assuming a constant dividend forever, what is the rate of return on this stock?

Select correct option:

5.00 percent

7.00 percent

8.45 percent

10.0 percent

103. Which of the following is a special case of annuity, where the stream of cash flows continues forever?

Select correct option:

Ordinary Annuity

Special Annuity

Annuity Due

Perpetuity

Choose the

Most Appropriate Answer among the given choices.

1. The difference between the return on a risky investment and that on a risk-free investment.

- A. Risk Return
- B. Risk Premium**
- C. Risk Factor
- D. None of the above

2. A group of assets such as stocks and bonds held by an investor.

- A. Portfolio**
- B. Capital Structure
- C. Budget
- D. None of the above

3. If the variance or standard deviation is larger then the spread in returns will be:

- A. Less
- B. More**
- C. Same
- D. None of the Above

4. The following risk is entirely wiped out by Diversification.

- A. Systematic Risk
- B. Unsystematic Risk**

C. Portfolio Risk D. Total Risk
5. The objective for using the concept of Diversification is to :
A. Minimize the Risk B. Maximize the return C. A & B D. None of the Above
6. While studying the relationship in risk and return, It is commonly known that:
A. Higher the risk, lower the return B. Lower the risk, higher the return C. Higher the risk, higher the return D. None of the above
7. This type of risk affects almost all types of assets.
A. Systematic Risk B. Unsystematic Risk C. Total Risk D. Portfolio Risk
MCQ # 08 – 10 are based on the following data:
Suppose you bought 1,500 shares of a corporation at Rs. 25 each. After a year, you received Rs. 3000 (Rs. 2 per share) in dividends. At the end of year the stock sells for Rs. 30 each. If you sell the stock at the end of the year, your total cash inflow will be Rs. 48,000 (1500 shares @ 30 each = Rs. 45000 & Dividend = 3000).
8. According to the given data, the Capital Gain will be:

A. 10,500 B. 7,500 C. 10,000 D. 7,000
9. According to the given data, the Dividend yield will be:
A. 8.50 % B. 6.25% C. 8.00% D. 6.67%
10. According to the given data, Total Percentage Returns will be:
A. 20% B. 28% C. 32% D. 35%

8. Which of the following process can be defined as the process of generating earnings from previous earnings?

Select correct option:

Discounting

Compounding

Factorization

None of the given options

9. Which of the following is the amount of cash we

would get if we actually sell
an asset?

Select correct option:

Market Value

Book Value

Intrinsic Value

None of the given options

Composed & Solved

Armaan Makhani

Vu Askari Team

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11. Which of the following financial statement shows both dollars and percentages in the report?

Select correct option:

Balance Sheet

Common-Size Statement

Income Statement

Relative Statement of Equity

12. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

13. Suppose the initial investment for a project is Rs. 16 million and the cash flows are Rs. 4 million in the first year and Rs.

9 million in the second and

Rs. 5 million in the third. The project will have a payback period of:

Select correct option:

2.6 Years

3.1 Years

3.7 Years

4.1 Years

14. Which of the following is NOT a shortcoming of Payback Rule?

Select correct option:

Time value of money is ignored

It fails to consider risk differences

Simple and easy to calculate

None of the given options pg 106

15. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds pg 71

Common Stocks

Preferred Stock

All of the given options

16. Treasury notes and bonds are examples of which of the following types of bonds?

Select correct option:

Government bonds 85

Zero coupon bonds
Floating-rate bonds
Euro bonds

17. When real rate is _____, all interest rates will tend to be _____.
Select correct option:

Low; higher

High; lower

High; higher pg 88

None of the given options

18. Which of the following statements is(are) CORRECT regarding a bond?
Select correct option:

A bond is an evidence of debt issued by a corporation or a governmental body. A bond represents a loan made by investors to the issuer.

When a corporation wishes to borrow from public on a long term basis, it does so by issuing or selling bonds.

All of the given options

19. Between the two identical bonds having different coupon, the price of the _____ bond will change less than that of _____ bond.

Select correct option:

Higher-coupon; lower-coupon

Lower-coupon; higher-coupon

[Long-term; short-term](#)

None of the given options

20. As the dividend is always same for a zero growth stock, so the stock can also be viewed as:

Select correct option:

Ordinary Annuity

Annuity Due

[Ordinary perpetuity pg 91](#)

None of the given options

21. The coupon rate of a floating-rate bond is capped and upper and lower rates are called:

Select correct option:

Float

[Collar pg 86](#)

Limit

Surplus

22. Internal Rate of Return (IRR) is sometimes referred to as:

Select correct option:

Simple Interest Rate

Compound Interest Rate

Economic Rate of Return

Required Rate of Return

23. If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?

Select correct option:

$$D_2 = D_1 \times (1 + g)$$

$$D_2 = D_0 \times (1 + g)^2$$

$$D_2 = D_0 \times (1 + g)^2$$

All of the given options pg 92

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24. A project whose acceptance does not prevent or require the acceptance of one or more alternative projects is referred to as a(n):

Select correct option:

mutually exclusive project

independent project

dependent project

contingent project

25. A project has an initial investment of Rs. 600,000. What would be the NPV for the project if it has a profitability index of

1.12?

Select correct option:

Rs. 40,000

Rs. 55,000

Rs. 65,000

Rs. 72,000

Reference=600000*1.12=672000-600000=72000

26. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure. Pg 78

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

27. If a firm is allowed to miss a coupon payment on a bond in a year in which it reports an operating loss, the bond is most likely a(n) _____ bond.

Select correct option:

Income

Zero coupon

Floating-rate

Put

28. A _____ covenant limits or prohibits actions that company might take.

Select correct option:

Positive

Negative pg 80

Neutral

None of the given options

29. IRR and NPV rules always lead to identical decisions as long as:

Select correct option:

Cash flow s are conventional

Cash flow s are independent

Cash flow s are both conventional and independent pg 110

None of the given options

30. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

[Call provision](#)

Protective covenants

31. Which of the following is NOT a quality of IRR?
Select correct option:

Most widely used

[Ideal to rank the mutually exclusive investments pg 116](#)

Easily communicated and understood

Can be estimated even without knowing the discount rate

32. In which type of the market, previously issued securities are traded among investors?

Select correct option:

Primary Market

[Secondary Market pg 100](#)

Tertiary Market

None of the given options

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33. A model which makes an assumption about the future growth of dividends is known as:

Select correct option:

Dividend Price Model

Dividend Growth Model

Dividend Policy Model

All of the given options

34. Which of the following represents the linear relation between Net Present Value (NPV) and Profitability Index (PI)?

Select correct option:

If
Profitability
Index > 1 ,
NPV is
Negative (-)

If
Profitability
Index < 1 ,
NPV is
Positive (+)

If Profitability Index > 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Zero (0)

35. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period

[Net Present Value pg 118](#)

Average Accounting Return

36.

Which of the following is NOT included in discounted cash flow criteria for capital budgeting decision?

Select correct option:

[Payback Period pg 119](#)

Net Present Value

Profitability Index

Internal Rate of Return

37. Which of the following is an example of positive covenant?

Select correct option:

[Maintaining any collateral or security in good condition](#)

Limiting the amount of dividend according to some formula Restricting pledging assets to other lenders

Barring merger with another firm

38. Which of the following is the most common capital budgeting technique?

Select correct option:

Payback Period

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Net Present Value

Internal Rate of Return
Profitability Index

40. Which of the following is a measure of accounting profit relative to the book value?

Select correct option:

Net Present Value

Profitability Index

Internal Rate of Return

Average Accounting Return pg 119

41. Which one of the following typically applies to preferred stock but not to common stock?

Select correct option:

Dividend yield

Cumulative dividends

Voting rights

Tax deductible dividends

42. Treasury notes and bonds are examples of

which of the following types of bonds?

Select correct option:

[Government bonds pg 86](#)

Zero coupon bonds

Floating-rate bonds

Euro bonds

43. Expectation of a ____ inflation rate will push long term interest rates ____ than short term rates reflected by an upward term structure.

Select correct option:

Lower; higher

Higher; lower

[Higher; higher pg 88](#)

None of the given options

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44. A company issues bonds with a Rs. 1,000 face value. What is the coupon rate if the coupon payments of Rs. 60 are paid every 6

months?

Select correct option:

3 percent

6 percent

9 percent

12 percent

$$60+60=120/1000=12\%$$

45. The projected cash flows from a project are: Year

1: Rs. 100 Year 2: Rs. 300

Year 3: Rs. 400 Year 4: Rs. 800 The Project cost is

Rs. 800. What would be

the payback period for the project?

Select correct option:

2.00 Years

2.67 Years

3.00 Years

3.67 Years

Project=800 paid in 1 year=100, 2nd year=300 and 3rd year=400 total 800 paid in 3rd year

In which of the following type of annuity, cash flows occur at the beginning of each period?

Select correct option:

Ordinary annuity

Annuity due pg 66

Perpetuity

None of the given options

46. Which of the following is NOT an important feature of treasury notes and

bonds?

Select correct option:

Default free

Taxable

Least liquid pg 90

Highly liquid

Which of the following is NOT a determinant of term structure?

Select correct option:

Real rate of interest

Internal rate of interest pg 88

Expected inflation

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Interest rate risk

47. Which of the following is the amount of time required for an investment to

generate cash flows sufficient to recover its initial cost?

Select correct option:

Yield to maturity
Maturity Period

[Payback period pg 104](#)

Accounts Receivable period

m.q .z

48. In which type of the market, securities are originally sold to the investors?
Select correct option:

[Primary Market](#)

Secondary Market
Tertiary Market
None of the given options

49. A _____ is an agent who arranges security transactions among investors.
Select correct option:

[Broker pg 100](#)

Dealer
Member
Specialist

volatile

50. Which of the following is a characteristic of preferred stock?
Select correct option:

These stocks have not stated liquidating value

[Dividends on these stocks can be cumulative pg 100](#)

These bonds hold credit ratings quite different from bonds

These stocks have not any kind of priority over common stocks

51. Which of the following type of bond pays no coupon at all and are offered at a price that is much lower than its stated value?

Select correct option:

Government bonds

[Zero coupon bonds pg 85](#)

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Floating-rate bonds

Euro bonds

52. An investment will be _____ if the IRR doesn't _____ exceeds _____ the _____ required return and _____ otherwise.

Select correct option:

Accepted; rejected
Accepted; accepted
Rejected; rejected

[Rejected; accepted pg 109 conceptual](#)

53. Which of the following comes under the head of accounting criteria for capital budgeting decision?

Select correct option:

Payback Period

Net Present Value
Profitability Index

[Average Accounting Return pg 119](#)

54. Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?

Select correct option:

[Ordinary annuity pg 63](#)
Annuity due

Perpetuity

None of the given options

55. Which of the following term refers to the difference between the present value of cash inflows and the present value of cash outflows?

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)
Internal Rate of Return (IRR)

Profitability Index (PI)

56. One would be indifferent between taking and not taking the investment when:

Select correct option:

NPV is greater than Zero

NPV is equal to Zero pg 104 doubt ask question in mdb

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NPV is less than Zero

All of the given options

57. Which one of the following terms refers to the risk arises for bond owners from fluctuating interest rates?

Select correct option:

Fluctuations Risk

Interest Rate Risk pg75

Real-Time Risk

Inflation Risk

58. All else equal, the market value of a corporate bond is always inversely related to its:

Select correct option:

Time to maturity

Coupon rate

Yield to maturity

All of the given options

Made By Armaan Makhani

Armaan.makhani@gmail.com

Date :25-11-2010

ACC 501
Quiz
Conference
lecture 1
to 18
T
his Mcqs
for
Midterm

59. Which of the following issue is NOT covered by "Investment" area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

60. Period costs include which of the following?
Select correct option:

Selling expense

Raw material

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Direct labor

Manufacturing overhead

61. Product costs include which of the following?
Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

62. Financial policy is evaluated by which of the following?

Select correct option:

Profit Margin

Total Assets Turnover

Debt-equity ratio

None of the given options

63. Cash flow from assets involves which of the following component(s)?

Select correct option:

Operating cash flow

Capital spending

Change in net working capital

All of the given options

64. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

65. Finance is vital for which of the following business activity (activities)?

Select correct option:

Marketing Research

Product Pricing

Design of marketing and distribution channels

All of the given options

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66. Which of the following costs are reported on the income statement as the cost of goods sold?

Select correct option:

Product cost

Period cost

Both product cost and period cost

Neither product cost nor period cost

67. Standard Company had net sales of Rs. 750,000 over the past year. During that time, average receivables were Rs. 150,000. Assuming a 365-day year,

what was the average collection period?

Select correct option:

5 days

36 days

48 days

73 days

$$750000/150000=5$$

$$365/5=73\text{days}$$

68. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

Financial Leverage

Manufacturing Leverage

None of the given options

69. In which type of market, new securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

70. Which of the following ratios are particularly interesting to short-term creditors?

Select correct option:

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Liquidity Ratios

Long-term Solvency Ratios

Profitability Ratios

Market Value Ratios

71. shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

72. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

73. me: Quick Ratio is also known as:

Select correct option:

Current Ratio

[Acid-test Ratio](#)

Cash Ratio

74. of the following statement measures performance over a specific period of time?

Select correct option:

[Income Statement](#)

Balance Sheet

Cash Flow Statement

Retained Earning Statement

75. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

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Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

76. A portion of profits, which a company retains itself for further expansion, is known as:

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

77. Which one of the following is NOT a liquidity ratio?

Select correct option:

Current Ratio

Quick Ratio

Cash Coverage Ratio

Cash Ratio

78. Which of the following ratio gives an idea as to how efficient management is at using its assets to generate earnings?

Select correct option:

Profit Margin

Return on Assets

Return on Equity

Total Assets Turnover

79. Which of the following is an example of capital spending?

Select correct option:

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Purchase of Fixed Assets

Decrease in Net Working Capital
Increase in Net Working Capital
None of the given options

80. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency

Asset use efficiency
Financial policy
Dividend policy

81. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts

Auditors

Marketers

82. Which of the following set of ratios is used to assess a business's ability to generate earnings as compared to its expenses and other relevant costs incurred during a specific period of time?

Select correct option:

Liquidity Ratios

Leverage Ratios

Profitability Ratios

Market Value Ratios

83. A company having a current ratio of 1 will have _____ net working capital.

Select correct option:

Positive

Negative

zero

None of the given options

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84. which of the following is not a form of business organization

Select correct option:

sole proprietorship

partnership

joint stock company

cooperative Society

85. Which of the following ratios are intended to address the firm's financial leverage?

Select correct option:

Liquidity Ratios

Long-term Solvency Ratios

Asset Management Ratios

Profitability Ratios

86. The accounting definition of income is:

Select correct option:

Income =
Current

Assets -
Current
Liabilities
Income =
Fixed
Assets -
Current
Assets
Income =
Revenues -
Current
Liabilities

$\text{Income} = \text{Revenues} - \text{Expenses}$

87. Which of the following item(s) is(are)
not included while calculating
Operating Cash Flows?

Select correct option:

Depreciation

Interest

Expenses related to firm's financing of its assets

$\text{All of the given options}$

88. Suppose market value exceeds book value by
Rs. 250,000. What will be the
after-tax proceeds if there is a tax rate of 34
percent ?

Select correct option:

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Rs. 105,600

Rs. 148,500

Rs. 165,000

Rs. 225,000

Solution= $250000 \times 34\% = 85000$

$250,000 - 85000 = 165000$

89. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds lec 17

Common Stocks

Preferred Stock

All of the given options

90. In which type of market, used securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

91. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts lec 2

Auditors

Marketers

92. Which of the following is (are) a non-cash item(s) ?

Select correct option:

Revenue

Expenses

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Depreciation

All of the given options

93. What will be the coupon value of a Rs. 1,000 face-value bond with a 10% coupon rate?

Select correct option:

Rs. 100

Rs. 510

Rs. 1,000

Rs. 1,100

Solution:

$=1000/10$

$=100$

94. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period lec 28

Net Present Value

Average Accounting Return

None of the given options

95. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

Direct labor

Manufacturing overhead

96. The value of net working capital will be greater than zero when:

Select correct option:

Current Assets > Current Liabilities

Current Assets < Current Liabilities

Current Assets = Current Liabilities

None of the given options

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97. According to Du Pont Identity, ROE is affected by which of the following?

Select correct option:

Operating efficiency
Asset use efficiency
Financial Leverage

[All of the given options](#)

98. Which of the following issue is NOT covered by "Investment" area of finance?

Select correct option:

Best mixture of financial investment

[International aspects of corporate finance](#)

Associated risks and rewards

Pricing financial assets

99. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

[Operating activity](#)

Investing activity
Financing activity

None of the given options

100. Balance sheet for a company reports

current assets of Rs. 700,000 and
current liabilities of Rs. 460,000. What would be
the Current Ratio for the
company if there is an inventory level of Rs.
120,000?

Select correct option:

1.01

1.26

1.39

1.52

Solution= $700000/460000=1.52$

101. In which type of business, all owners share in gains and
losses and all

have unlimited liability for all business debts?

Select correct option:

Sole-proprietorship

General Partnership pg 6

Limited Partnerhsip

Corporation

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102. a firm uses cash to purchase inventory, its current ratio will:

Select correct option:

Increase

Decrease

Remain unaffected

Become zero

103. Which of the following is a special case of annuity, where the stream

of cash flows continues forever?

Select correct option:

Ordinary Annuity

Special Annuity

Annuity Due

Perpetuity

104. Which of the following is an example of positive covenant?

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula Restricting pledging assets to other lenders

Barring merger with another firm

105. Which of the following refers to the difference between the sale price

and cost of inventory?

Select correct option:

Net loss

Net worth

Markup

Markdown

106. Which of the following allows a company to repurchase part or all of

the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

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107. _____ shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

108. Which of the following is a cash flow from financing activity?

Select correct option:

Cash outflow to the government for taxes

Cash outflow to shareholders as dividends

Cash outflow to lenders as interest

Cash outflow to purchase bonds issued by another company

109. Which of the following form of business organization is least regulated?

Select correct option:

Sole-proprietorship

General Partnership

Limited Partnership

Corporation

110. The principal amount of a bond at issue is called:

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

111. Which of the following relationships holds TRUE if a bond sells at a

discount?

Select correct option:

Bond Price <

Par Value and

YTM >

coupon rate

Bond Price >

Par Value and

YTM >

coupon rate

Bond Price >

Par Value and

YTM <

coupon rate

Bond Price <

Par Value and

YTM <

coupon rate

112. When a corporation wishes to borrow from public on a long-term

basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds

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Common Stocks

Preferred Stock

All of the given options

113. Which of the following item provides the important function of

shielding part of income from taxes?

Select correct option:

Inventory

Supplies

Machinery

Depreciation

114. A firm reports total liabilities of Rs. 300,000 and owner's equity of Rs.

500,000. What would be the total worth of the firm's assets?

Select correct option:

Rs. 300,000

Rs. 500,000

Rs. 800,000

Rs. 1100,000

sol

Asset= liabilities+ capital so $300+500=800,000$

115. Which of the following forms of business organizations is created as a

distinct legal entity owned by one or more individuals or entities?

Select correct option:

Sole-proprietorship
General Partnership
Limited Partnership

Corporation

116. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship
partnership
joint stock company

none of the above

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117. Which of the following equation is known as Cash Flow (CF) identity?

Select correct option:

CF from Assets = CF
to Creditors - CF to
Stockholder

CF from Assets = CF
to Stockholders - CF
to Creditors
CF to Stockholders =
CF to Creditors + CF
from Assets

CF from Assets = CF to Creditors + CF to Stockholder

118. The difference between current assets and current liabilities is known

as:

Select correct option:
Surplus Asset

Short-term Ratio

Working Capital

Current Ratio

119. A borrower is able to pay Rs. 40,000 in 5 years. Given a discount rate

of 12 percent, what amount of money the lender should lend?

Select correct option:

Rs. 14,186

Rs. 18,256

Rs. 22,697

Rs. 28,253

solution

$$40000 \times 1 / (1 + 0.12)^5 = 22697.07$$

120. Which of the following statement is considered as the accountant's

snapshot of firm's accounting value as of a particular date?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

121. The principal amount of a bond at issue is called:

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

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122. Which of the following statement about bond ratings is TRUE?

Select correct option:

Bond ratings are typically paid for by a company's bondholders.

Bond ratings are based solely on information acquired from sources other than the bond issuer.

Bond ratings represent an independent assessment of the credit-worthiness of bonds.

None of the given options

123. Which of the following is the acronym for GAAP?

Select correct option:

Generally
Applied
Accountab
ility
Principles
General
Accountin
g
Assessme
nt
Principles

Generally Accepted Accounting Principles

General Accepted Assessment Principles

124. Which of the following is NOT an internal use of financial statements

information?

Select correct option:

Planning for the future through historic information

Evaluation of performance through profit margin and return on equity

Evaluation of credit standing of new customer

None of the given options

125. A firm has paid out Rs. 150,000 as dividends from its net income of Rs. 250,000. What is the retention ratio for the firm?

Select correct option:

12 %

25 %

40 %

60 %

Solution

Net income-dividend / net income

*100

$250000 - 150000 / 250000 * 100 = 40\%$

A company having a current ratio of 1 will have _____ net working capital. Select correct option:

Positive

Negative

zero

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None of the given options

126. A portion of profits, which a company distributes among its shareholders, is known as:

Select correct option:

[Dividends](#)

Retained Earnings

Capital Gain

None of the given options

127. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

[All of the given options](#)

128. Which of the following ratios is NOT from the set of Asset

Management Ratios?

Select correct option:

Inventory Turnover Ratio

Receivable Turnover

Capital Intensity Ratio

Return on Assets

129. You just won a prize, you can either receive Rs. 1000 today or Rs. 1,050 in one year. Which option do you prefer and why if you can earn 5 percent on your money?

Select correct option:

Rs. 1,000 because it has the higher future value

Rs. 1,000 because you receive it sooner

Rs. 1,050 because it is more money

Either because both options are of equal value

130. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

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Financial Leverage

Manufacturing Leverage
None of the given options

b

131. You need Rs. 10,000 to buy a new television. If you have Rs. 6,000 to invest at 5 percent compounded annually, how long will you have to wait to buy the television?

Select correct option:

8.42 years

10.51 years

15.75 years

18.78 years

$6000(1+5\%)^{10.51} \approx 10,000$

132. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender
Maintaining any collateral or security in good condition

Restricting selling or leasing assets

133. Which of the following is measured by retention ratio?

Select correct option:

Operating efficiency
Asset use efficiency
Financial policy

Dividend policy

134. Which of the following statement shows assets, liabilities, and net

worth as of a specific date?

Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

Armaan: b

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135. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

136. An account was opened with an investment of Rs. 3,000 ten years ago. The ending balance in the account is Rs. 4,100. If interest was compounded, how much compounded interest was earned?

Select correct option:

Rs. 500

Rs. 752

Rs. 1,052

Rs. 1,100

$$4100 - 3000 = 1100$$

137. What is the effective annual rate of 7 percent compounded monthly?

Select correct option:

7.00 percent

7.12 percent

7.19 percent

7.23 percent

138. Which of the following cash flow activities are reported in the Cash

Flow Statement and Income Statement?

Select correct option:

Operating Activities

- Investing Activities
- Financing Activities
- All of the given options

139. Which of the following term refers to establish of a standard to follow

for comparison?

Select correct option:

Benchmarking 48

Standardizing

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Comparison

Evaluation

140. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency pg 44

Asset use efficiency

Financial policy

Dividend policy

141. Rule of 72 for finding the number of periods is fairly applicable to which of the following range of discount rates?

Select correct option:

2% to 8%

4% to 25%

5% to 20%

10% to 50%

142. Which of the following refers to a conflict of interest between

principal and agent?

Select correct option:

Management Conflict

Interest Conflict

Agency Problem

None of the given options

143. Which of the following is a series of constant cash flows that occur at

the end of each period for some fixed number of periods?

Select correct option:

Ordinary annuity 63

Annuity due

Perpetuity

None of the given options

144. Which of the following area of finance deals with stocks and bonds?

Select correct option:

Financial institutions

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International finance

Investments

All of the given options

145. 7:03 AM Which of the following is NOT an external use of financial

statements information?

Select correct option:

Evaluation of credit standing of new customer

Evaluation of financial worth of supplier

Evaluation of potential strength of the competitor

Evaluation of performance through profit margin and return on equity

146. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

147. If a firm has a ROA of 8 percent, sales of Rs. 100,000, and total assets

of Rs. 75,000. What is the profit margin?

Select correct option:

4.30%

6.00%

10.70%

16.73%

solution

Net income = ROA * total asset

Net income = $8\% \times 75000 = 6000$

Profit margin = $\frac{\text{net income}}{\text{sales}} \times 100$

Profit margin=6000/100000*100= 6%

148. Which of the following is the process of planning and managing a

firm's long-term investments?

Select correct option:

Capital Structuring

Capital Rationing

Capital Budgeting

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Working Capital Management

149. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows
Financing Cash Flows
All of the given options

150. Quick Ratio is also known as:

Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

None of the given options

151. Mr. Y and Mr. Z are planning to share their capital to run a business.

They are going to employ which of the following type of business?

Select correct option:

Sole-proprietorship

Partnership

Corporation

None of the given options

152. If you have Rs. 30 in asset A and Rs. 120 in another asset B, the

weights for assets A and B will be ___ and ___ respectively.

Select correct option:

20%; 80%

37%; 63%

63%; 37%

80%; 20%

153. When corporations borrow, they generally promise to: I.

Make

regular scheduled interest payments II. Give the right of voting to bondholders III. Repay the original amount borrowed (principal) IV. Give an ownership interest in the firm

Select correct option:

I and II

I and III

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II and IV

I, III, and IV

154. Which of the following is NOT included in a bond indenture?

Select correct option:

The basic terms of bond issue

The total amount of bonds issued

A personal profile of the issuer

A description of the security

155. What would be the present value of Rs. 10,000 to be received after

years at a discount rate of 8 percent?

Select correct option:

Rs. 6,302

Rs. 9,981

Rs. 14,800

Rs. 15,869

156. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure.

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

157. The preferred stock of a company currently sells for Rs. 25 per share.

The annual dividend of Rs. 2.50 is fixed. Assuming a constant dividend

forever, what is the rate of return on this stock?

Select correct option:

5.00 percent

7.00 percent

8.45 percent

10.0 percent

158. Which of the following is a special case of annuity, where the stream

of cash flows continues forever?

Select correct option:

Ordinary Annuity
Special Annuity
Annuity Due

Perpetuity

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159. JJ Inc. has a 4 percent return on total assets of Rs. 500,000 and a net profit margin of 5 percent. Total sales for JJ Inc. would be :

Select correct option:

Rs. 150,000

Rs. 200,000

Rs. 250,000

Rs. 400,000

$$\text{ROTA} = \text{N.P} / \text{Total Assets}$$

$$4 \% = \text{N.P} / 500,000$$

$$4\% * 500,000 = \text{N.P}$$

$$\text{N.P} = \text{Rs. } 20,000$$

$$\text{N.P Margin} = \text{N.P} / \text{Sales}$$

$$5 \% = 20,000 / \text{Sales}$$

$$5\% * \text{Sales} = 20,000$$

$$\text{Sales} = 20,000 / 5\%$$

$$\text{Sales} = 400,000$$

160. Which of the following rate makes the Net Present Value (NPV) equal

to zero?

Select correct option:

Average Accounting Return (AAR)

[Internal Rate of Return \(IRR\) pg 109](#)

Required Rate of Return (RRR)

Weighted Average Cost of Capital (WACC)

161. Which of the following is the expected rate of return on a bond if bought at its current market price and held to maturity

Select correct option:

Current Yield

Yield To Maturity

Coupon Yield

Capital Gains Yield

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162. If a firm uses cash to purchase inventory, its quick ratio will:

Select correct option:

Increase

Decrease

Remain unaffected

Become zero

163. a firm uses cash to purchase inventory, its current ratio will:

Select correct option:

Increase

Decrease

Remain unaffected

Become zero

1. Which one of the given options involves the sale of new securities from the issuing company to general public?
 - A. Secondary market
 - B. Primary market
 - C. Capital market
 - D. Money market

2. In financial statement analysis, shareholders focus will be on the:
 - A. Liquidity of the firm
 - B. Long term cash flow of the firm
 - C. Profitability and long term health of the firm
 - D. Return on investment

3. The statement of cash flows helps users to assess and identify all of the following except:
 - A. The impact of buying and selling fixed assets.
 - B. The company's ability to pay debts, interest and dividends.
 - C. A company's need for external financing.

D. The company's reliance on capital leases.

4. Suppose Younas Corporation has balance of merchandise of 5000 units. It wants to sell 2000 units at 90% of its cost on cash. What would be the affect of this transaction on the current ratio?

A. Fall

B. Rise

C. Remain unchanged

D. None of the given option

5. If the interest rate is 18% compounded quarterly, what would be the 8-year discount factor?

A. 1.42215

B. 2.75886

C. 3.75886

D. 4.08998

6. You have a cash of Rs.150, 000. If a bank offers four different compounding methods for interest, which method would you choose to maximize the value of your Rs.150, 000?

A. Compounded daily

B. Compounded quarterly

C. Compounded semiannually

D. Compounded annually

7. Ali Corporation has a cash coverage ratio of 6.5 times. Whereas its earning before interest and tax is Rs.750 million and interest on long term loan is Rs.160 million. What would be the annual depreciation for the current year?
- A. a.Rs. 200 million
 - B. b.Rs.240 million
 - C. c.Rs.275 million
 - D. d.Rs.290 million
8. Suppose RZ Corporation sales for the year are Rs.150 million. Out of this 20% of the sales are on cash basis while remaining sales are on credit basis. The past experience revealed that the average collection period is 45 days. What would be the receivable turnover ratio?
- A. 6.12 times
 - B. 7.11 times
 - C. 8.11 times
 - D. 9.11 times
9. A bank offers 20% compounded monthly. What would be the effective annual rates of return?
- A. 20.00%
 - B. 20.50%
 - C. 21.00%
 - D. 21.99%
10. Nz Corporation reported earning before interest and taxes of Rs.500, 000 for the current year. It has taken a long term loan of Rs.2 million from a local bank @ 10% interest. The tax is charged at the rate of 32%.What will be the saving in taxes due to presence of debt financing in the capital structure of the firm?
- A. Rs.60, 000

B. Rs.64, 000

C. Rs.72, 000

D. Rs.74, 000

1. Ntp Corporation has decided to pay Rs.16 per share dividend every year. If this policy is to continue indefinitely, then the value of a share of stock would be -----, if the required rate of return is 25%?

a. Rs.60

b. Rs.64

c. Rs.68

d. Rs.74

2. MT Corporation has a previous year dividend of Rs.14 per share where as investors require a 17% return on the similar stocks .The Company's dividend grows by 7%.The price per share in this case would be_____.

a. Rs.149.8

b. Rs.184.9

c. Rs.198.4

d. Rs.229.9

3. RTU Corporation stock is selling for Rs.150 per share. The next dividend is Rs.35 per share and it is expected to grow 14% more or less indefinitely. What would be the return does this stock offer you if this is correct?

a. 17%

b. 27%

c. 37%

d. 47%

4. Suppose a Corporation has 3 shareholders; Mr.Salman with 25 shares, Mr. Kareem with 35 shares, and Mr.Amjad with 40 shares. Each wants to be elected as one of the six directors. According to cumulative voting rule Mr.Kareem would cast

a. 150 votes

b. 210 votes

c. 240 votes

d. 300 votes

5. _____ is the market in which already issued securities are traded among investors.

a. Primary market

b. Secondary market

c. Financial market

d. Capital market

6. Suppose Mehran Corporation is dealing in the Automobile industry. Based on projected costs and sales, it expects that the cash flows over the 3-year life of the project will be Rs.5, 000,000 in first year, Rs.7, 000,000 in the next year and Rs.8, 000,000 in the last year. This project would cost about Rs. 10,000,000. The net present value of the project would be _____, if discount rate is assumed to be 25%.

a. Rs.2, 576, 000

b. Rs.3, 576, 000

c. Rs.1, 576, 000

d. Rs.4, 576, 000

7. The Projected cash flows from a proposed investment are

Year	Cash Flows
01	Rs.500,000
02	Rs.800,000
03	Rs.600,000

The projects costs are Rs.1, 500,000. The payback period for this investment would be _____.

a. 1.50 years

b. 2.00 years

c. 2.33 years

d. 3.00 years

8. Suppose Z Corporation, has the present value of its future cash flows is Rs.450, 000 and the project has a cost of Rs.300, 000, then the profitability index would be _____.

a. 0.667

b. 1

c. 1.25

d. 1.50

9. Fee paid to the consultant for evaluating the project is an example of _____.

- a. Opportunity cost
- b. Sunk cost
- c. Decremental cost
- d. None of the given option

10. If the sales of the AB corporation is Rs.20, 000,000 where as its cost is Rs.12, 000,000 during the same period. Assume the annual tax rate is 37%.Its annual depreciation is Rs.5, 000, 000.The operating cash flow of the organization would be _____.

- a. Rs. 3,810,000
- b. Rs. 4,810,000
- c. Rs. 5,190,000
- d. Rs. 6,890,000

Select the correct option form the following choices:

- 1. Treasury notes and bonds are:
 - a. Default free
 - b. Taxable
 - c. Highly liquid

d. All of the given options

2. The difference between an investment's market value and its cost is called the _____ of the investment.

a. Net present value

b. Economic value

c. Book value

d. Future value

3. When real rate is high, all the interest rates tend to be _____.

a. Higher

b. Lower

c. Constant

d. None of the given options

4. _____ is a grant of authority by a shareholder to someone else to vote the shareholder's share.

a. Cumulative voting

b. Straight voting

c. Proxy voting

d. None of the given options

5. The payment of the dividend is at the discretion of the:

a. Chairman

b. Board of directors

c. Shareholders

d. Stakeholders

6. Based on _____ the investment is accepted if the _____ exceeds the required return. It should be rejected otherwise.
- a. Profitability index
 - b. Payback period
 - c. **Internal rate of return**
 - d. Net present value
7. If two investments are mutually exclusive, then taking one of them means that:
- a. **We cannot take the other one**
 - b. The other is pending for the next period
 - c. The projects are independent
 - d. None of the given options
8. Profitability index (PI) rule is to take an investment, if the index exceeds_____:
- a. -1
 - b. 0
 - c. **1**
 - d. All of the given options
9. Average Accounting Return is a measure of accounting profit relative to:
- a. **Book value**
 - b. Intrinsic value
 - c. Cost
 - d. Market value

10. It is not unusual for a project to have side or spillover effects both good and bad. This phenomenon is called:

- a. Erosion
- b. Piracy
- c. Cannibalism
- d. **All of the given options**

1. The average time between purchasing or acquiring inventory and receiving cash proceeds from its sale is called -----.

a) Operating Cycle

- b) Cash Cycle
- c) Receivable period
- d) Inventory period

2. Which of the following does not affect cash cycle of a company?

- a) Inventory period
- b) Accounts receivable period
- c) Accounts payable turnover

d) None of the given option

3. Mr.Munir purchased goods of Rs.100,000 on June01, 2006 from Zeeshan and brothers on credit terms of 3/10, net 30. On June 09 Mr. Munir decided to make payment to Zeeshan and brothers. How much he would pay to Zeeshan and brothers.

a) 100,000

b) 97,000

c) 103,000

d) 50,000

4. A firm has cash cycle of 100 days. It has an inventory turnover of 5 and receivable turnover of 2. What would be its accounts payable turn over?

a) 3.347 approximately

b) 5.347 approximately

c) 2.347 approximately

d) 6.253 approximately

5. During the financial year 2005-2006 ended on June 30, the cash cycle of Climax company was 150 days, and its payable turnover was 5. What was the operating cycle of the company during 2005-2006?

a) 234 days

b) 223 days

c) 245 days

d) 230 days

6. Which of the following is the cheapest source of financing available to a firm?

a) Bank loan

b) Commercial papers

c) Trade credit

d) None of the given options.

7. Which of the following illustrates the use of a hedging (or matching) approach to financing?

- a) Short-term assets financed with long-term liabilities.
- b) Permanent working capital financed with long-term liabilities.**
- c) Short-term assets financed with equity.
- d) All assets financed with a 50 percent equity, 50 percent long-term debt mixture

8. ----- is an incentive offered by a seller to encourage a buyer to pay within a stipulated time.

- a) Cash discount**
- b) Quantity discount
- c) Float discount
- d) All of the given options

9. If a firm has a net float less than zero, then which of the following statements is true about the firm.

- a) The firm's disbursement float is less than its collection float.**
- b) The firm's collection float is equal to zero.
- c) The firm's collection float is less than its disbursement float.
- d) None of the given options.

10. Financing a long-lived asset with short-term financing would be

- a) An example of "moderate risk -- moderate (potential) profitability" asset financing.
- b) An example of "low risk -- low (potential) profitability" asset financing.
- c) An example of "high risk -- high (potential) profitability" asset financing.**
- d) An example of the "hedging approach" to financing

Note: Correct options have been highlighted.

1. Suppose Flatiron Corporation has a debt-to- equity ratio of $\frac{2}{3}$. You are analyzing the capital structure of this Corporation. Base on debt-to- equity ratio of the corporation, how much portion of the capital structure is financed through equity.
 - a) 66.67%
 - b) 33.34%
 - c) 0%
 - d) 60%**

2. Suppose the common stocks of Bonanza Corporation have book value of \$29 per share. The market price of these common stocks is \$69.50 per share. The corporation paid \$5.396 per share in dividend last year and analysts estimate that this dividend will grow at a rate of 6% through the next three years. Using the dividend growth model, estimated cost of equity of Bonanza corporation would be
 - a) 11.15%
 - b) 16.13%
 - c) 15.80%**
 - d) 13.14%

3. Which statement is true about the relationship between weighted average cost of capital and value of a firm in the eyes of investors?
 - a) They have a direct relationship
 - b) They have an indirect relationship**
 - c) They have spontaneous relationship

d) None of the given options

4. ----- refers to the extent to which fixed-income securities (debt and preferred stock) are used in a firm's capital structure.

a) Financial risk

b) Portfolio risk

c) Operating risk

d) Market risk

5. Let's imagine that Sony Corporation currently uses no-debt financing, it has decided to go for capital restructuring. As result it would incorporate \$ 1 billion of debt at 6.6% p.a in its capital structure. Sony Corporation has 30 million Shares outstanding and the price per share is \$ 125. If the restructuring is expected to increase EPS, what would be the minimum level of EBIT that Sony management must be expecting?

a) \$202,200,000

b) \$247,500,000

c) \$283,500,000

d) \$321,250,000

6. A corporation has WACC of 13.5 %(excluding taxes). The current borrowing rate in the market is 9.25%.If the corporation has a target capital structure of 65% equity (there is no preferred stock in the capital structure of the corporation) and 35% debt, what would be the cost of equity of this corporation?

a) 13.5%

b) 17.75%

c) 15.79%

d) 17.13%

7. Suppose Dux Corporation has current assets of \$44 Million. Cash is 25% of the total current assets. After one year the cash item increase by 12%. This increase in cash item is a

a) Source of cash

b) Use of cash

c) Neither of the source of cash nor a use of cash

d) None of the given option

8. During 2005 a merchandize sales company had cash sales of \$56.25 million, which were 15% of the total sales. During this period accounts receivables of the company were 13% of total sales. What was the average collection period of the company during 2005?

a) 62 days

b) 18 days

c) 56 days

d) 19 days

9. Suppose that Pearson Corporation has a capital structure which consists of both equity and debt. It had issued two million worth of bonds at 6.5 % p.a. The tax rate is 40%. Its EBIT is one million. The present value of tax shield for Pearson corporation would be

a) Rs.1,000,000

b) Rs.1,200,000

c) **Rs800,000**

d) Rs.1,400,000

10. The use of Personal borrowing to alter the degree of financial leverage is called _____.

a) Homemade leverage

b) Financial leverage

c) Operating leverage

d) None of the given option

Choose the Most Appropriate Answer among the given choices.

1. _____ refers to the most valuable alternative that is given up if a particular investment is undertaken.

E. Sunk cost

F. Opportunity cost

G. Financing cost

H. All of the given options

2. SNT company paid a dividend of Rs. 5 per share last year. The stock's current price is Rs. 50 per share. Assuming that the dividends are estimated to grow steadily at 8% per year, the cost of the capital for SNT company will be?

E. 13.07 %

F. 15.67 %

G. 16.00 %

H. 18.80 %

3. _____ is the group of assets such as stocks and bonds held by an

investor.
E. Portfolio F. Diversification G. Stock Bundle H. None of the given options
4. Which of the following measures the present value of an investment per dollar invested?
E. Net Present Value (NPV) F. Profitability Index (PI) G. Average Accounting Return (AAR) H. Internal Rate of Return (IRR)
5. If we have Rs. 150 in asset A and Rs. 250 in asset B, then the percentage of asset B in the portfolio will be:
E. 37.5 % F. 47.5 % G. 62.5 % H. 72.5 %
6. A risk that influences a large number of assets is known as:
E. Systematic Risk F. Market Risk G. Non-diversifiable Risk H. All of the given options
7. Which of the following risk can be eliminated by diversification?

E. Systematic Risk F. Unsystematic Risk G. A & B H. None of the given options
8. Suppose the initial investment for a project is Rs. 160,000 and the cash flows are Rs. 40,000 in the first year and Rs. 90,000 in the second and Rs. 50,000 in the third. The project will have a payback period of:
E. 2.6 Years F. 3.1 Years G. 3.6 Years H. 4.1 Years
9. A model which makes an assumption about the future growth of dividends is known as:
E. Dividend Price Model I. Dividend Growth Model F. Dividend Policy Model G. All of the given options
10. Which of the following is not a quality of IRR ?
E. Most widely used J. Ideal to rank the mutually exclusive investments F. Easily communicated and understood G. Can be estimated even without knowing the discount rate

Most Appropriate Answer among the given choices has been selected..

1. _____ is a special case of annuity, where the stream of cash flows continues forever.

- I. Ordinary Annuity
- J. **Perpetuity**
- K. Dividend
- L. Interest

2. If a bank offers 15% annual rate of return compounded quarterly, what would be the Effective Annual Rate (EAR)?

- I. 15.00 %
- J. 15.34 %
- K. **15.87 %**
- L. 16.42 %

3. A bond represents a _____ made by an investor to the _____.

- I. loan; receiver
- J. dividend; issuer
- K. dividend, receiver
- L. **loan; issuer**

4. When the interest rates fall, the bond is worth _____.

- I. **More**
- J. Less
- K. Same

L. All of the given options.
5. If SNT Corporation pays out 30% of net income to its shareholders as dividends. What would be the Retention Ratio for SNT Corporation?
I. 30 % J. 50 % K. 70 % L. 90 %
6. If sales are to grow at a rate higher than the sustainable growth rate, the firm must:
I. Increase Profit Margin J. Increase Total Assets Turnover K. Sell new shares L. All of the given options.
7. _____ is the current value of the future cash flow discounted at an appropriate discount rate.
I. Present Value J. Future Value K. Capital Gain L. Net Profit
8. SUMI Inc. has outstanding bonds having a face value of Rs. 500. The promised annual coupon is Rs. 50. The bonds mature in 30 years and the market's required rate on similar bonds is 12% p. a. What would be the present value of each bond?
K. Rs. 319.45 L. Rs. 390.75 M. Rs. 419.45

N. Rs. 463.75
9. The sensitivity of Interest Rate Risk of a bond directly depends upon:
H. Time to maturity I. Coupon rate J. A and B K. None of the given options
10. An insurance company offers to pay you Rs. 1000 per year if you pay Rs. 6,710 up front. What would be the rate applicable in this 10-year annuity?
H. 8 % I. 10 % J. 12 % K. 14 %

Choose the Most Appropriate Answer among the given choices.

1. In the formula $k_e = (D_1/P_0) + g$, what does (D_1/P_0) represent?

- A. The expected capital gains yield from a common stock
- B. The expected dividend yield from a common stock**
- C. The dividend yield from a preferred stock
- D. The interest payment from a bond

2. If you owned 100 shares of a company and there are three directors to be elected.

How much votes you would have as per cumulative voting procedure?

A. 100 Votes

B. 200 Votes

C. 300 Votes

D. 400 Votes

3. SNT Corporation has policy of paying a Rs. 6 dividend per share every year. If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?

A. Rs. 30

B. Rs. 40

C. Rs. 50

D. Rs. 60

4. Which of the following is NOT a characteristic of preferred stock?

A. Dividends on these stocks cannot be cumulative

B. These stocks have dividend priority over common stocks

C. These stocks have stated liquidating value

D. These bonds hold credit ratings much like bonds

5. A project has an initial investment of Rs. 400,000. What would be the NPV for the

project if it has a profitability index of 1.15?

A. Rs. 30000

B. Rs. 40,500

C. Rs. 50,000

D. Rs. 60,000

6. What will be the proper order of completion regarding the capital budgeting process?

(I) Perform a post-audit for completed projects;

(II) Generate project proposals; (III) Estimate appropriate cash flows;

(IV) Select value-maximizing projects; (V) Evaluate projects.

A. II, V, III, IV, and I

B. III, II, V, IV, and I

C. II, III, V, IV, and I

D. II, III, IV, V, and I

7. Following are the two cases:

Case I: Mr. A, as a financial consultant, has prepared a feasibility report for a project for ABC Company that the company is planning to undertake. He has suggested that the project is feasible.

Case II: Mr. A, as a financial consultant, has prepared a feasibility report of a project for XYZ Company that the company is planning to undertake. He has suggested that the project is not feasible.

The consultancy fee paid to Mr. A will be considered as:

A. Sunk cost in Case I and opportunity cost in Case II

B. Opportunity cost in Case I and sunk cost in Case II

C. Sunk Cost in both Case I and Case II

D. Opportunity cost in both Case I and Case II

8. Suppose you buy some stock for Rs. 35 per share. At the end of the year, the price

is Rs. 43 per share. During the year, you get a Rs. 4 dividend per share. What will be the total percentage return?

A. 22.85 %

B. 25.16 %

C. 30.52 %

D. 34.29 %

9. If you have a portfolio with Rs. 10,000 in asset A and Rs. 15,000 in another asset B

then what will be the weight of Asset B in your portfolio?

A. 0.30

B. 0.40

C. 0.60

D. 0.75

10. Which of the following set of cash flows represents the change in the firm's total

cash flow that occurs as direct result of accepting the project?

A. Relevant Cash Flows

B. Incremental Cash Flows

C. Negative Cash Flows

D. All of the given option

Choose the Most Appropriate Answer among the given choices.

1. 2. Time value of money is an important finance concept because:

A. It takes risk into account

B. It takes time into account

C. It takes compound interest into account

D. All of the given options

2. The present value of a sum of Rs. 100 to be received in the future will be:

A. More than Rs. 100

B. Equal to Rs. 100

C. Less than Rs. 100

D. None of the given options

3. You want to buy an ordinary annuity that will pay you Rs. 3,000 a year for the next 20 years. You expect annual interest rates will be 8 percent over that time period. The maximum price you would be willing to pay for the annuity will be closest to:

A. Rs. 29,454

B. Rs. 34,325

C. Rs. 39,272

D. Rs. 49,023

4. You have Rs. 1,000 that you want to save. If four different banks offer four different compounding methods for interest, which method should you choose to maximize your Rs. 1,000?

A. Compounding quarterly

B. Compounding monthly

C. Compounding semi-annually

D. Compounding annually

5. If a bond sells at a high premium, then which of the following relationships hold true?

A. Bond Price < Par Value and YTM > coupon rate

B. Bond Price > Par Value and YTM > coupon rate

C. Bond Price > Par Value and YTM < coupon rate

D. Bond Price < Par Value and YTM < coupon rate

6. What will be the value to you of a Rs. 2,000 face-value bond with an 8% coupon rate when your required rate of return is 12% and time till maturity is 5 years?

A. Rs. 1,556

B. Rs. 1,712

C. Rs. 2,082

D. Rs. 2,420

7. Which of the following carry the provision that within a stipulated time period, the bond may be converted into a certain number of shares of the issuing corporation's common stock at a pre-stated price?

A. Convertible Bonds

B. Income Bonds

C. Put Bonds

D. None of the given options

8. Interest rates and bond prices :

A. Move in the same direction

B. Move in the opposite direction

C. Sometimes move in the same and sometimes in the opposite direction

D. Have no relation with each other

9. Long-term bonds have _____ risk of loss resulting from changes in interest rates than do short-term bonds.

A. Less

B. Zero

C. More

D. None of the given options

10. What will be real rate if the nominal rate is 17%, and the inflation rate is 5% ?

A. 6.639%

B. 8.251%

C. 10.00%

D. 11.43%

Which of the following set of ratios is used to assess a business's ability to generate earnings as compared to its expenses and other relevant costs incurred during a specific period of time

Which one of the following costs refers to an outlay that has already occurred and hence is not affected by the decision under consideration ?

Select correct option:

- ☐ Sunk
- ☐ Opportunity

Highlight the correct option:

1) The alternative name used for Interest Coverage Ratio is _____.

- a. Time interest earned
- b. Cash coverage ratio
- c. Profit margin ratio
- d. None of the given option

2) If you want to evaluate the performance of an organization, which one of the following ratios will be helpful to you in evaluating the performance of an organization?

- a. Return on short as well as long term investments
- b. Return on equity and return on debt
- c. Return on equity and profit margin
- d. All of the given options

3) Imran Corporation is a firm dealing in hardware industry. It sold 5000 units of its product to Mr. Younas for a sum of Rs.150, 000 whose cost was Rs.160, 000. What would be the effect of this transaction on current ratio of the company if the current ratio was 0.80 before this transaction?

- a. Increase
- b. Decrease
- c. Remain unchanged
- d. None of the given option

4) Mehran Corporation is dealing in furniture industry. It has an equity multiplier of 1.78 times. The debt to equity ratio would be _____?

- a. 0.38 times
- b. 0.58 times
- c. 0.78 times
- d. 0.98 times

- 5) What would be the level of EBIT if Imran Corporation uses both debt as well as equity financing in its capital structure, it has a cash coverage ratio of 7.5 times, annual interest expense is Rs.1 million and annual depreciation is Rs.3 million?
- a. Rs. 2.5 million
 - b. Rs. 3 million
 - c. Rs. 3.5 million
 - d. Rs.4.5 million
- 6) Suppose, Neumann Corporation has a debt to equity ratio of 0.45 times. Its return on equity is 18%.The return on assets would be _____.
- a. 9.414 %
 - b. 10.414 %
 - c. 11.412 %
 - d. 12.414 %
- 7) Suppose, Ilyas Corporation is one of the dominant firms in electronics equipment industry. Its policy is very clear about dealing with stackholders. It pays out 30% of its income in the form of dividend. If it pays a total sum of Rs.150 millions as a dividend, then what would be the amount transferred to the retained earning balance from current year profit?
- a. Rs.150 millions
 - b. Rs.250 millions
 - c. Rs.350 millions
 - d. Rs.500 millions

8) Sian Corporation is one of the largest firms in the electronics industry covering 70% of the market share. During the current year its performance is analysed by judging the various indicators. It has return on assets of 12.5% and retention ratio is 3/5. What would be the internal growth rate of the Sian Corporation?

a. 12.29%

b. 14.29%

c. 16.29%

d. 18.92%

9) What would be the sustainable growth rate if the Corporation has a Return on equity (ROE) of 20% and a retention ratio of 4/6?

a. 25 %

b. 35 %

c. 29%

d. 45%

10) Rehan Corporation is dealing in agriculture products. Its annual gross sales are Rs.1975 millions. Out of which 34% are on cash basis. Their past collection experiences show that it has an average collection period of 76 days. What would be the balance of accounts receivable at the end of the year?

a. Rs.251.415 millions

b. Rs.261.415 millions

c. Rs.271.415 millions

d. Rs.281.415 millions

Choose and highlight the right option:

1. ROE in DuPont identity is affected by:

- a. **Operating efficiency**
- b. **Asset usage efficiency**
- c. **Financial leverage**
- d. *All of the given options*

2. A decrease in the percentage of net income paid out as a dividend, will increase the:

- a. **Return on assets ratio**
- b. *Retention ratio*
- c. **Leverage ratio**
- d. **Profit margin**

3. Which of the following does not change Current ratio of a business:

- a. **Efficient usage of current assets**
- b. **Change in the nature of the firm**
- c. **Change in Accounting method of the firm**
- d. *Change in the management of the firm*

4. **Present value factor is:**

- a. $(1+r)^t$
- b. $(1-r)^t$
- c. $1/(1+r)^t$
- d. $1/(1+r)^{1/t}$

5. **Depreciation expense is:**

- a. *Operating expense*
- b. **Investing expense**
- c. **Financing expense**
- d. **All of the given options**

6. **Internal growth rate tell how rapidly:**

- a. *The firm grows*
- b. **Sales of the firm grows**
- c. **Profit of the firm grows**
- d. **None of the given options**

7. **You can determine the number of periods (n) in a present value calculation, if you know:**

- a. **Future amount**
- b. **Present value**
- c. **Interest rate**
- d. *All of the given options*

8. **Which one of the present value factor is larger?**

- a. *PV of 1 factor for 10%*
- b. **PV of 1 factor for 12%**
- c. **Both have the same effect**
- d. **It cannot be determined**

9. *If we deposit Rs. 5,000 today in an account paying 10%, how long does it take to grow to Rs. 10,000?*

- a. *5.27 years*
- b. *6.27 years*
- c. *7.27 years*
- d. *7.57 years*

10. *The future value of first Rs. 100 in 2 years at 8% discount is:*

- a. *Rs. 116.64*
- b. *Rs. 111.64*
- c. *Rs. 164.64*
- d. *Rs. 164.61*

Total marks: 10

1. **Investing activities include:**

- a. **Purchase of property, plant and equipment**
- b. **Cash received from the issuance of stock or equity in the business.**
- c. **Purchases of stock or other securities (other than cash equivalents)**
- d. *Both a & c*

2. **Changes in cash from financing are "cash in" when:**

- a. *Capital is raised*
- b. **Assets increased**
- c. **Liabilities decreased**
- d. **Cash withdrawn**

3. **Generally, changes made in cash, accounts receivable, depreciation, inventory and accounts payable are reflected in:**

- a. *Cash from operations activities*
- b. **Cash from financing activities**
- c. **Cash from investing activities**
- d. **None of the given options**

4. _____are short-term, temporary investments that can be readily converted into cash.

- a. **marketable securities**

- b. **Cash equivalents**
- c. **Treasury bills**
- d. *All of the given options*

5. **The Cash flow statement records your_____ and expenditure at the end of the 'forecast' period.**

- a. *Actual cash income*
- b. **Un earned income**
- c. **Coming year income**
- d. **Last year's income**

6. **Ratios look at the relationships between individual values and relate them to how a company:**

- a. **Has performed in the past**
- b. **Might perform in the future**
- c. *Both a & b*
- d. **None of the given options**

7. **The current ratio is also known as:**

- a. *Working capital ratio*
- b. **Leverage ratio**
- c. **Turnover ratio**
- d. **None of the given options**

8. _____**is concerned with the relationship between the long terms liabilities that a business has and its capital employed.**

- a. *Gearing*
- b. ***Acid test ratio***
- c. ***Working capital management***
- d. ***All of the given options***

9. _____ give a picture of a company's ability to generate cash flow and pay its financial obligations:

- a. *Management ratios*
- b. *Working capital ratios*
- c. *Net profit margin ratios*
- d. *Solvency Ratios*

10. *Balance sheet items expressed as percentage of:*

- a. *Net sales*
- b. *Total revenue*
- c. *Total assets*
- d. *Total liabilities*

1. Ann is interested in purchasing Ted's factory. Since Ann is a poor negotiator, she hires Mary to negotiate a purchase price. Identify the parties to this transaction from the given options, keeping in view the agency theory:

- a. **Ann is the principal and Mary is the agent.**
- b. Mary is the principal and Ann is the agent.
- c. Ted is the agent and Ann is the principal.
- d. Mary is the principal and Ted is the agent.

2. Which of the given options apply to auction markets?

- a. Trading in a given auction exchange takes place at a single site on the floor of the exchange.
- b. Transaction prices of shares are communicated almost immediately to the public.

- c. Listing.
- d. **All of the given options (a, b and c).**

3. Suppose a Corporation has a taxable income of \$200,000 and the tax amount is as given in the calculations:

\$ 50,000	x 15%	= \$ 7,500
(\$ 75,000 – 50,000)	x 25%	= 6,250
(\$ 100,000 – 75,000)	x 34%	= 8,500
(\$ 200,000 – 100,000)	x 39%	= <u>39,000</u>
		<u>\$ 61,250</u>

Total tax is \$61,250.

Average tax rate is $\$61,250 / 200,000 = 30.625\%$. Marginal tax rate will be:

- a. **39%**
- b. 34%
- c. 15%
- d. 25%

4. A document that includes corporation's name, intended life, business purpose and number of shares and is necessary to form a corporation is known as:

- a. **Charter**
- b. Set of bylaws
- c. Regulations paper
- d. None of the given options

5. According to the accounting profession, which of the given options would be considered a cash-flow item from an "investing" activity in a cash flow statement?

- a. Cash outflow to the government for taxes.
- b. Cash outflow to shareholders as dividends.
- c. Cash outflow to lenders as interest.
- d. **Cash outflow to purchase bonds issued by another company**

6. Which one of the given options is generally considered the most liquid asset?

- a. **accounts receivable**
- b. inventory
- c. net fixed assets
- d. intangible assets

7. Which of the given options is an advantage of a corporation that is *not* an advantage as a limited partner in a partnership?

- a. Limited liability.
- b. **Easy transfer of ownership position.**
- c. Double taxation.
- d. All of the options are advantages that the corporation has over the limited partner.

8. In finance we refer to the market for relatively long-term financial instruments as the _____ market.

- a. money
- b. **capital**
- c. primary
- d. secondary

9. _____ is concerned with the branch of economics relating the behavior of principals and their agents.

- a. Financial management
- b. Profit maximization
- c. **Agency theory**
- d. Social responsibility

10. Which of the expenses in given options is not a cash outflow for the firm?

- a. **Depreciation**
- b. Dividends
- c. Interest payments
- d. Taxes

1. A standardized financial statement presenting all items of the statement as a percentage of total is:

- a. **a common-size statement**
- b. an income statement
- c. a cash flow statement
- d. a balance sheet

2. Ammar is running a company 'Ammar & Co'. He has asked you to comment on company's ability to pay its bills over the short run without undue stress. For this purpose you will study which category of ratios of the company?

a. Profitability Ratios

b. Liquidity ratios

c. Debt ratios

d. Turnover ratios

3. Which one of the given options describes desirable current ratio for a business?

e. 0

f. 0.2

g. 0.1

h. At least one

4. Interest Coverage Ratios are also known as:

a. Times Interest Earned (TIE) Ratios

b. Liquidity Ratios

c. Debt Ratios

d. Asset Management Ratios

5. The Du Pont Identity tells us that Return on Equity is affected by:

a. operating efficiency (as measured by profit margin)

b. asset use efficiency (as measured by total assets turnover)

c. financial Leverage (as measured by equity multiplier)

d. all of the given options (a, b and c)

6. Benchmarking is used to establish a standard to follow for:

a. comparison

b. identification

c. calculation

d. liability

7. A series of constant cash flows that occur at the end of each period for some fixed number of periods is _____ .

a. an ordinary annuity

b. annuity due

c. multiple cash flows

d. perpetuity

8. Suppose the total cost of a college education will be \$50,000 in 12 years for a child. The Parents have \$5,000 to invest today. What rate of interest must they earn on investment to cover the cost of child's education?

a. 21.15%

b. 12%

c. 18%

d. 30%

9. If the bank loans out \$10,000 for 90 days at 8% simple interest, the PV is:

a. \$9,806.56

b. \$9000

c. \$10000

d. \$9500

10. Suppose, you deposited an amount of Rs.1000 in Habib Bank at the start of year 2006. How much interest amount will you have at the end of the year if the bank pays simple interest @10% p.a.?

a. Rs.100

b. Rs.10

c. Rs.90

d. Rs.1000

1. _____ is considered as bottom line in Income Statement?
M. Total Assets N. Total Liabilities O. Net Profit P. Gross Profit
2. _____ can be considered as a snapshot of a company's financial position?
M. Income Statement N. Balance Sheet O. Cash Flow Statement P. Owner's Equity Statement
3. _____ involves the sale of used securities from one investor to another?

M. Primary Market N. Secondary Market O. Tertiary Market P. None of the given options
4. _____ Ratios shows a firm's ability to pay its bills in short term?
M. Liquidity N. Financial Leverage O. Profitability P. Market Value
5. The process of planning and managing a firm's long-term investments is called:
M. Planning Process N. Capital Structure O. Capital Budgeting P. Managing Process
6. Income statement for Sumi Inc. shows the net income of Rs. 363,000 whereas the total sales are Rs. 2,311,000. The profit margin for the Sumi Inc. will be:
M. 6.37 % N. 8.37 % O. 15.7 % P. 12.5 %
7. S&T Company have 35 thousands shares outstanding and the stock sold for Rs. 99 per share at the end of year. Income Statement reported a net income of Rs. 385,000. The Price Earning Ratio for S&T Company will be:

M. 8 times N. 9 times O. 10 times P. 11 times
8. While making Common-Size statement, Balance Sheet items are shown as a percentage of :
O. Total Assets P. Total Liabilities Q. Total Capital R. Net Profit
9. A business, created as a distinct legal entity owned by one or more individuals or entities, is known as:
L. Sole Proprietorship M. Partnership N. Corporation O. None of the given options
10. Which one of these is considered as a non-cash item?
L. Inventory M. Accounts Payable N. Accounts Receivable O. Depreciation

The next dividend for a company is Rs. 6 per share. The stock current price is Rs. 57 per share. What will be the cost of capital if the

dividends are estimated to grow steadily at 5% ?

Select correct option:

12.88%

13.07%

14.22%

15.53%

$$D1 = D0 \times (1 + g)$$

$$RE = D1 / P0 + g$$

$$6 \times (1 + 0.05) = 6.3$$

$$6.3 / 57 + 0.05 = 16\%$$

Which of the following is the time period between the acquisition of inventory and the collection of cash from receivables

Select correct option

Operating Cycle pg 164

Cash Cycle

Current Cycle

None of the given options

Question # 2 of 15 (Start time: 04:07:41 PM) Total Marks: 1

Which of the following is the time between receipt of inventory and payment for it ? Select correct option:

Operating Cycle

Cash Cycle

Current Cycle

None of the given options

Question # 6 of 15 (Start time: 04:10:23 PM) Total Marks: 1

Business risk depends on which of the following risk of the firm's assets ?
Select correct option:

Systematic Risk pg 155

Diversifiable Risk

Unsystematic Risk

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None of the given options

Question # 8 of 15 (Start time: 04:11:30 PM) Total Marks: 1

What will be the affect of capital structure on the value of the firm and WACC when there are no taxes and bankruptcy costs ?

Select correct option:

Value of the

firm increases
and WACC
decreases
Value of the
firm decreases
and WACC
increases

Value of the firm and WACC both are not affected pg 158

Capital structure have to do nothing with value of the firm and WACC

Question # 13 of 15 (Start time: 04:14:19 PM) Total Marks: 1

Sources of cash always involve _____ a liability (or
equity) account or _____ an asset account.

Select correct option:

increasing; decreasing pg 163

decreasing; increasing

increasing; increasing
decreasing; decreasing

Question # 14 of 15 (Start time: 03:41:38 PM) Total Marks: 1

Which of the following refers to the use of
borrowed money to increase the return on equity
of an investment purchase ?

Select correct option:

Financial Leverage

Operating Leverage

Structural Leverage

None of the given options

Question # 1 of 15 (Start time: 02:20:49 PM) Total Marks: 1

The value of the firm's cash flows (or the value of
the firm) is _____ when the WACC is
_____.

Select correct option:
minimized; minimized
maximized; maximized

maximized; minimized pg 149

None of the given options

Question # 5 of 15 (Start time: 02:22:43 PM) Total Marks: 1

A firm's equity is worth 4 million and its debt is worth 2 million. What is the percentage of firm's financing that is debt ?

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Select correct option:

20%

33%

40%

67%

Ref:

$4+2=6$

$4/6=0.66$

$0.66 \times 100 = 66.67$ is equity and
 $100 - 67 = 33$ is debt

Question # 7 of 15 (Start time: 02:24:51 PM) Total Marks: 1

Which of the following risk is associated with the unique circumstances of a particular company ?

Select correct option:

Financial Risk

Business Risk

Functional Risk

None of the given options

Question # 10 of 15 (Start time: 02:27:15 PM) Total Marks: 1

According to 2nd M&M proposition, cost of equity does NOT depend upon which of the following ?

Select correct option:

The required return of firm's assets

The firm's cost of debt

The firm's stockholders pg 153

The firm's debt-equity ratio

Question # 13 of 15 (Start time: 02:29:40 PM) Total Marks: 1

Which of the following is the difference between the current assets and the current liabilities ?

Select correct option:

Net difference

Net working capital

Current ratio

Net available capital

Question # 1 of 15 (Start time: 02:38:01 PM) Total

Marks: 1 Operating cycle =

Select correct option:

Collection period - accounts payable period

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Inventory period - accounts receivable period

Inventory period + accounts receivable period pg 164

Inventory period + account payable period

Question # 2 of 15 (Start
time: 02:39:24 PM) Total
Marks: 1 A firm's capital
structure may include which
of the following ? Select
correct option:

Common stocks

Preferred Stocks not sure

Bonds

All of the given options

Question # 14 of 15 (Start time: 02:46:33 PM) Total Marks: 1

Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs. 2.50 per share. At the end of the year, the stock sells for Rs. 28. As per given information, what will be the capital gains yield ? Select correct option:

15.85%

25.10%

27.27%

45.00%

Capital gain yield formula
 $(28-22)/22$

$=0.2727$

Question # 15 of 15 (Start time: 02:48:05 PM) Total Marks: 1

Which of the following term refers to the situation when investors loan out the money ? Select correct option:

Leverage

Levering

Un-levering pg 152

Loaning

Question # 1 of 15 (Start time: 11:23:11 AM) Total Marks: 1 Which of the following activities does not increase cash ? Select correct option:

Increasing current liabilities
Increasing equity

Increasing current assets other than cash pg 163

Decreasing fixed assets

Question # 3 of 15 (Start time: 11:25:12 AM) Total Marks: 1

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The increase in debt financing raises the required return on equity because the risk born by the investors increases which is called:

Select correct option:

Financial Risk pg 155
Business Risk

Functional Risk

None of the given options

Question # 5 of 15 (Start time: 11:27:05 AM) Total Marks: 1 What will happen to cash cycle if payable period is lengthened ? Select correct option:

Cash cycle increases

Cash cycle decreases 167

Cash cycle remain unaffected

Cash cycle has to do nothing with payable period

Question # 6 of 15 (Start time: 11:28:03 AM) Total Marks: 1

Which of the following M&M propositions states that it is completely irrelevant how a firm chooses to arrange its finances ?

Select correct option:

1st proposition pg 153

2nd proposition

3rd proposition

None of the given options

Question # 7 of 15 (Start time: 11:29:12 AM) Total Marks: 1

The total market value of a company's stocks is calculated as Rs. 250 million and the

total market value of the company's debt are calculated as Rs. 150 million. What percent of the firm's financing is equity ?

Select correct option:

33.33%

50.00%

62.50%

85.00%

$=250+150=400$

$250/400=62.5$ equity and remaining 37.5 is debt

Question # 8 of 15 (Start time: 11:30:35 AM) Total Marks: 1

Which of the following is referred as the ratio of the standard deviation of a distribution to the mean of that distribution ?

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Select correct option:
Probability distribution

The expected return

The standard deviation
Coefficient of variation

Question # 10 of 15 (Start
time: 11:32:28 AM) Total
Marks: 1 Cash cycle =

Select correct option:

Inventory
period -
accounts
receivable
period
Inventory
period +
accounts
receivable
period
Inventory
period +
account

payable
period

Operating cycle - accounts payable period pg 165

Question # 12 of 15 (Start time: 11:33:22 AM) Total Marks: 1

According to which of the following theory, the firm's capital structure is determined by a trade-off of the value of tax shields against the costs of bankruptcy.

Select correct option:

M&M Proposition

Modern theory of bankruptcy costs

Static theory of capital structure not sure

Dividend growth theory

Question # 13 of 15 (Start
time: 11:34:55 AM) Total
Marks: 1 The cost of
common equity for a firm is:

Select correct option:

The required
rate of return on
the company's
stock The yield
to maturity on
the bond

The risk-free rate

The market risk premium

Question # 14 of 15 (Start time: 11:36:17 AM) Total Marks: 1

Standard deviations for Investment A and Investment B are 25% and 12% respectively. This indicates that :

Select correct option:

Investment A
is less volatile
than
Investment B
Investment B

is equally
volatile to
Investment A

Investment A is more volatile than Investment B

Investment B is more volatile than Investment A

Question # 1 of 15 (Start time: 11:42:21 AM) Total Marks: 1

Which of the following is the time between receipt of inventory and payment for it ? Select correct option:

Operating Cycle

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Cash Cycle

Current Cycle

None of the given options pg 165

Question # 4 of 15 (Start time: 11:47:38 AM) Total Marks: 1

Which of the following is the overall return the firm must earn on its existing assets to maintain the value of the stock?

Select correct option:

IRR (Internal Rate of Return)

MIRR (Modified Internal Rate of Return)

WACC (Weighted Average Cost of Capital) 146

AAR (Average Accounting Return)

Question # 5 of 15 (Start time: 11:49:02 AM) Total Marks: 1

What will happen to cash cycle if inventory and receivable periods get longer ? Select correct option:

Cash cycle increases pg 167

Cash cycle decreases

Cash cycle remain unaffected

Cash cycle has to do nothing with inventory and receivable periods

Standard deviations for Investment A and Investment B are 15% and 32% respectively. This indicates that :

Select correct option:

Investment A
is more
volatile than
Investment B
Investment A
is equally
volatile to
Investment B
Investment B
is less volatile
than
Investment A

Investment B is more volatile than Investment A

Question # 9 of 15 (Start time: 11:52:21 AM) Total Marks: 1

Which of the following term refers to the use of personal borrowing to alter the degree of financial leverage ?

Select correct option:

Un-levering

Homemade leverage pg 151

Levering

Loaning

Question # 10 of 15 (Start time: 11:53:13 AM) Total Marks: 1

Which of the following is the return that firm's creditors demand on new borrowings ? Select correct option:

Cost of debt pg 143

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Cost of preferred stock
Cost of common equity
Cost of retained earnings

Question # 13 of 15 (Start time: 11:55:21 AM) Total Marks: 1

A firm's equity is worth 4 million and its debt is worth 2 million. What is the percentage of firm's financing that is equity ?

Select correct option:

20%

33%

40%

67%

$4+2=6$

$4/6=0.67$

Question # 14 of 15 (Start time: 11:56:50 AM) Total Marks: 1

Under what situation, we can safely say that one capital structure is better than the other ? Select correct option:

If it results in a higher weighted average cost of capital

If it results in a lower weighted average cost of capital pg 149

If it results in a lower value of the firm

Capital structure has to do nothing with weighted average cost of capital

Question # 5 of

15 (Start time:

10:55:09 PM)

Total Marks: 1

Suppose market value exceeds book value by Rs. 200,000.
What will be the after-tax proceeds if

there is a tax rate of 35 percent ?

Select correct option:

Rs. 97,500

Rs. 105,600

Rs. 130,000

Rs. 150,000

$200000 \times 35\% = 70000$

$200000 - 70000 = 130000$

Question # 9 of 15 (Start time: 02:23:24 PM) Total Marks: 1

In which type of projects, the unequal lives of the projects do affect the analysis ? Select correct option:

Mutually exclusive
Dependent

Independent
Correlated

Mr. Naveed has bought 100 shares of a corporation one year ago at Rs. 23 per share. Over the last year, he received a dividend of Rs. 1.50 per share. At the end of the year, the stock sells for Rs. 31. As per given information, what will be his total percentage return ?

Select correct option:

10.63%

20.20%

35.12%

41.30%

First find dividend yield then capital gain yield then plus both answer

Let see

Dividend yield = $1.50/23 = 0.06521\%$

Capital gain yield = $(31-23)/23 = 0.3478\%$

Total percentage return $0.06521 + 0.3478 * 100 = 41.30$

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The book value of a system is Rs. 35,500 at the end of year 4 of its life. What will be the total after-tax cash flow from sale if we sell this system for Rs. 20,000 at this time? (Tax rate is 35%)

Select correct option:

Rs. 15,000

Rs. 15,220

Rs. 20,327

Rs. 25,425

Which one of the following statement is INCORRECT regarding MACRS depreciation ?
Select correct option:

Every asset is assigned to a particular class which establishes asset's life for tax purposes. Depreciation is computed for each year by multiplying the cost of the asset by a fixed percentage.

Annual depreciation remains constant every year even by using different rates.

The expected salvage value and the actual expected economic life are not explicitly considered in calculation of depreciation.

Total portfolio risk is equal to :

Select correct option:

systematic risk plus non-diversifiable risk

unsystematic risk plus diversifiable risk

systematic risk plus market risk

systematic risk plus diversifiable risk

Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share.

Over the last year, he received a dividend of Rs. 2.50 per share. As per given information what will be the dividend yield ?

Select correct option:

9.92%

11.36%

21.12%

40.00%

$$d.y = 2.50/22 = 0.1136\%$$

Question # 1 of 15 (Start time: 09:05:41 PM) Total Marks: 1

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Which of the following type of risk can be eliminated by diversification ?
Select correct option:

Systematic Risk

Market Risk

Unsystematic Risk

None of the given options

Which of the following is the return that firm's creditors demand on new borrowings ? Select correct option:

Cost of debt

Cost of preferred stock

Cost of common equity

Cost of retained earnings

None of the given options

What will be the risk premium for a stock that has an expected return rate of

14% and a

risk-free rate of 5% ?

Select correct option:

6 %

9 %

15 %

24%

$14 - 5 = 9$

Which of the following is NOT an example of systematic risk ? Select correct option:

Interest Rate

Inflation

Strike call in a company

Gross Domestic Product

Your gain (or loss) on an investment that you buy is called your : Select correct option:

Risk on investment

Return on investment

Gain on investment
loss on investment

Standard Company purchased a vehicle for Rs. 450,000. Based on historical averages, this vehicle is worth 25% of the purchase price now and it is being sold at this price. What is the vehicle's market value ?

Select correct option:

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Rs. 14,875

Rs. 112,500

Rs. 337,500

Rs. 230,000

Question # 3 of 15 (Start time: 05:24:09 PM) Total Marks: 1

ABC Corporation has two shareholders; Mr. Aamir with 50 shares and Mr. Imran with

70

shares. Both want to be elected as one of the four directors but Mr. Imran doesn't want Mr. Aamir to be director. How much votes would Mr. Aamir be able to cast as per cumulative voting procedure?

Select correct option:

70

120

200

280

$4 \times 50 = 200$

Question # 4 of 15 (Start time: 05:25:30 PM) Total Marks: 1

In MACRS property classes, 7-year class includes which of the following ?

Select correct option:

Equipment used in research

Autos & computers

Most industrial equipment

All of the given options

Question # 5 of 15 (Start time: 05:26:42 PM) Total Marks: 1

Standard deviations for Investment A and Investment B are 15% and 32 % respectively.

This indicates that :

Select correct option:

Investment A
is more volatile
than

Investment B
Investment A
is equally
volatile to

Investment B
Investment B
is less volatile
than

Investment A
Investment B
is more volatile
than
Investment A

Question # 6 of 15 (Start
time: 05:27:45 PM) Total
Marks: 1 Systematic Risk is
also known as :

Select correct option:

Diversifiable Risk
Market Risk

Residual Risk

Asset-specific Risk

Question # 7 of 15 (Start time: 05:28:20 PM) Total Marks: 1

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Vu Askari Team

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A project has an initial investment of Rs. 600,000. What would be the NPV for the project if it has a profitability index of 1.12?

Select correct option:

Rs. 40,000

Rs. 55,000

Rs. 65,000

Rs. 72,000

$$600000 \times 1.12 = 672000$$

$$672000 - 600000 = 72000$$

Question # 8 of 15 (Start time: 05:29:04 PM) Total Marks: 1 Unsystematic Risk is also known as :

Select correct option:

Diversifiable Risk

Market Risk

Non-diversifiable Risk

Question # 9 of 15 (Start time: 05:29:57 PM) Total Marks: 1

Which of the following is NOT included in discounted cash flow criteria for capital budgeting decision?

Select correct option:

Payback Period

Net Present Value

Profitability Index

Internal Rate of Return

Question # 10 of 15 (Start time: 05:30:21 PM) Total Marks: 1 Which of the following is NOT a quality of IRR?

Select correct option:

Most widely used

Ideal to rank the mutually exclusive investments

Easily communicate d and understood

Can be estimated even without knowing the discount rate

Question # 11 of 15 (Start time: 05:30:58 PM) Total Marks: 1

Which of the following is known as the group of assets such as stocks and bonds held by an investor ?

Select correct option:

Stock Bundle

Portfolio

Capital Structure

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None of the given options

Question # 12 of 15 (Start time: 05:31:49 PM) Total Marks: 1

Which of the following set of cash flows represent the change in the firm's total cash flow that occurs as direct result of accepting the project ?

Select correct option:

Relevant Cash Flows

Incremental Cash Flows

Negative Cash Flows

All of the given options

Question # 14 of 15 (Start time: 05:32:39 PM) Total Marks: 1

What would be the standard deviation of returns for an investment that has a variance of

0.0075 ?

Select correct option:

0.08660

0.09101

0.09487

0.10521

Question # 15 of 15 (Start time: 05:33:12 PM) Total Marks: 1

Investors demand a higher yield as compensation to the risk of possible default. This extra premium is called:

Select correct option:

Interest rate risk premium

Inflation risk premium

Default risk premium

Taxability premium

Question # 1 of 15 (Start time: 03:08:45 PM) Total Marks: 1

What will be the cash inflow if we have sales of Rs. 400,000 and accounts receivable are decreased by Rs. 70,000 ?

Select correct option:

Rs. 70,000

Rs. 230,000

Rs. 330,000 not sure

Rs. 470,000

Question # 4 of 15 (Start time: 03:11:23 PM) Total Marks: 1

The relationship between real and nominal returns is described by the: Select correct option:

M&M Proposition

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Capital Asset Pricing Model

Fisher's Effect

BCG Matrix

Question # 5 of 15 (Start time: 03:12:03 PM) Total Marks: 1

Which of the following set of cash flows should be considered in the decision at hand? Select correct option:

Relevant Cash Flows

Incremental Cash Flows

Negative Cash Flows

All of the given options

Question # 6 of 15 (Start time: 03:13:39 PM) Total Marks: 1

What will be the real rate if the nominal rate is 14% and the inflation rate is 6%? Select correct option:

6.02%

7.55%

10.0%

14.3%

$(1+r)/(1+h)$

$1.14/1.06=1.07$

$1.07*100=107.55$

$107.55-100=7.55$

Question # 10 of 15 (Start time: 03:16:02 PM) Total Marks: 1

The total market value of a company's stocks is calculated as Rs. 250 million and the

total market value of the company's debt are calculated as Rs. 100 million. What percent of the firm's financing is debt ?

Select correct option:

28.57%

50.00%

62.50%

70.00%

$250/350 \times 100 - 100 = 28.57$

Question # 13 of 15 (Start time: 03:18:22 PM) Total Marks: 1

Which of the following is referred as a statistical measure of the variability of a distribution around its mean ?

Select correct option:

Probability distribution

The expected return

The standard deviation

Coefficient of variation

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Question # 14 of 15 (Start time: 03:19:51 PM) Total Marks: 1

A set of possible values that a random variable can assume and their associated

probabilities of occurrence are referred as :

Select correct option:

Probability distribution

The expected return

The standard deviation

Coefficient of variation

Question # 15 of 15 (Start time: 03:21:16 PM) Total Marks: 1

A project whose acceptance does not prevent or require the acceptance of one or more alternative projects is referred to as a(n):

Select correct option:

mutually exclusive project

independent project

dependent project

contingent project

Question # 1 of 15 (Start time: 02:04:33 PM) Total Marks: 1

Which of the following is the most common capital budgeting technique?

Select correct option:

Payback Period

Net Present Value

Internal Rate of Return

Profitability Index

Question # 2 of 15 (Start time: 02:05:04 PM) Total Marks: 1

While performing the feasibility analysis for a project, an operating cash flow of Rs.

500,000 has been calculated. Net working capital has declined by Rs. 45,000. There was no capital spending during the year. What will be the total cash flow for the project ? Select correct option:

Rs. 200,000

Rs. 315,000

Rs. 455,000

Rs. 545,000

Question # 3 of 15 (Start time: 02:05:57 PM) Total Marks: 1

Which of the following formula is used to calculate the price of a zero growth stock?

Select correct option:

$$P_0 = D / R$$

$$P_0 = D_0 (1+g) / R$$

$$P_0 = D_0(1+g) / (R - g)$$

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$$P_0 = D_1 / (R - g)$$

Question # 4 of 15 (Start time: 02:07:26 PM) Total Marks: 1

Which of the following statement is NOT correct regarding cost of preferred shares ? Select correct option:

Preferred stock has fixed dividend paid every period forever

Fixed dividend paid every period makes preferred stock a perpetuity

Cost of preferred stock can be estimated by using firm's bond ratings

Cost of preferred stock can be estimated by observing the required return on other similarly rated shares of preferred stock

Question # 5 of 15 (Start time: 02:09:00 PM) Total Marks: 1

IRR and NPV rules always lead to identical decisions as long as: Select correct option:

Cash flows are conventional
Cash flows are independent

Cash flows are both conventional and independent
None of the given options

Question # 6 of 15 (Start time: 02:09:28 PM) Total Marks: 1

_____ paid by corporation is tax deductible but _____ paid are not tax deductible.

Select correct option:

Interest; dividend
Dividend; interest
Bonus; interest

None of the given options

Question # 8 of 15 (Start time: 02:10:43 PM) Total Marks: 1

Which one of the following costs refers to an outlay that has already occurred and hence is not affected by the decision under consideration ?

Select correct option:

Sunk

Opportunity
Fixed

Variable

Question # 10 of 15 (Start time: 02:11:32 PM) Total Marks: 1

Suppose the initial investment for a project is Rs. 16 million and the cash flows are Rs. 4 million in the first year and Rs. 9 million in the second and Rs. 5 million in the third. The project will have a payback period of:

Select correct option:

2.6 Years

3.1 Years

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3.7 Years

4.1 Years

Question # 12 of 15 (Start time: 02:12:30 PM) Total Marks: 1

Which of the following statement is TRUE regarding Average Accounting Return? Select correct option:

AAR is a rate that makes the NPV equal to zero

An investment is acceptable if its AAR is greater than a benchmark AAR
An investment is acceptable if its AAR is

less than a benchmark AAR None of the given options

Question # 13 of 15 (Start time: 02:14:04 PM) Total Marks: 1

Sumi Inc. has just paid a dividend of Rs. 7 per share. The dividend of this company grows at a steady rate of 5% per year. What will be the dividend in 5 years?

Select correct option:

Rs. 4.41

Rs. 6.12

Rs. 7.35

Rs. 8.93

$$5/100=0.05+1=1.05^5=1.2762*7=8.93$$

Question # 15 of 15 (Start time: 02:15:46 PM) Total Marks: 1

An investment should be accepted if the Net Present Value (NPV) is _____ and rejected if it is _____.

Select correct option:

Positive; positive

Positive; negative

Negative; negative

Negative; positive

2. AST Company's debt-to-total assets ratio is 0.45. What is its debt-to-equity ratio?

Select correct option:

0.101

0.220

0.667

0.818

$$\text{Reference: } (1-0.45=0.55) \\ =0.45/0.55=0.818$$

3. What amount a borrower would pay at the end of fourth year with a 4-year,

12%, interest-only loan of Rs. 8,000?

Select correct option:

Rs. 1,360

Rs. 2,000

Rs. 5,625

Rs. 8,960

Reference: $8000 \times 12 / 100 = 8960$

4. What will be the price per share if there is a current dividend of Rs. 4.75, required rate of return of 12% and growth rate of 5%?

Select correct option:

Rs. 30.19

Rs. 43.52

Rs. 56.53

Rs. 71.25

Reference: $D \times (1 + g) / (r - g)$

$4.75 \times (1 + 0.05 / 0.12 - 0.05) = 71.25$

5. A given rate is quoted as 9 percent APR, but the EAR is 9.38 percent. What is the compounding period?

Select correct option:

Semiannually

Quarterly

Monthly

Daily

Reference: $(1 + APR/m)^m - 1$

APR=9

M=30

$(1+9/30)^{30}-1=9.38$

6. Mr. Aslam owns 100 shares of a company and there are four directors to be elected. How much votes Mr. Aslam would have as per cumulative voting procedure?

Select correct option:

100 votes

200 votes

300 votes

400 votes

Reference: $100 \times 4 = 400$

7. SNT Corporation has policy of paying a Rs. 6 per share dividend every year.

If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?

Select correct option:

Rs. 30

Rs. 40

Rs. 50

Rs. 60

Reference: $6/0.15=40$